Division 296 Cost Base Reset Model

Adviser Edition · v3.4.0 · *Built 2026-06-23* · *For SMSF advisers who don't use CLASS Super.*

What this tool does

Division 296. From FY 2026–27 (first test 30 Jun 2027), super earnings on the slice of Total Super Balance (TSB) between $3m and $10m attract an extra 15% tax; the slice above $10m attracts an extra 25%. Assessed personally on the member, not on the fund.

Cost base reset election. A transitional one-off election: step each CGT asset's cost base up to its market value at 30 Jun 2026. Once lodged, irrevocable.

What this model compares. Reset election ON vs OFF. For each scenario it projects Division 296 tax — and the ordinary CGT that flows from realising the asset.

Decision it supports. Whether the SMSF should lodge the reset election. Rule of thumb: reset usually saves tax on future-gain assets and costs tax on future-loss assets — net effect depends on the asset mix.

INPUTS *you edit*	→	ANALYSER *auto*	→	COMPARISON *auto + print*		NOTES *reference*

Quick Start

Three steps. Five minutes. One headline number.

1 **Inputs → Members.**
Type each member's Total Super Balance (TSB) into column B (rows 7–10). Split %, $3m–$10m band, and above-$10m band derive automatically.

2 **Inputs → Asset register.**
For each CGT asset held at 30 June 2026: original cost base (C), market value at 30 Jun 2026 (E), projected sale proceeds (G), held > 12 months (I). Column H is locked — don't edit.

3 **Comparison tab.**
Read the three headline cards: If no reset · If elected · Net effect. Negative net effect (green) = the reset saves Division 296 tax.

Where the answer lives

Comparison tab → Headline cards. Three numbers: total Div 296 tax under each scenario plus the signed net effect. Negative (green) = reset saves tax. Positive (red) = ‘reset trap’ — locking in a higher basis on an asset you'll later sell at a loss shrinks that future loss, so net tax goes up.

Two safety banners on Inputs

Red — formulas in the register. You used Ctrl+V. Press Ctrl+Z, re-paste as Paste-Special > Values.

Red — proceeds without 30 Jun 2026 value. Rows with column G filled but column E blank are silently excluded. Fill column E, or clear column G.

Inputs reference

Column-level reference for the only tab whose numbers flow to tax calcs. Everything else in the workbook reads from here.

Section 1 — Members (rows 6–12)

Up to four members. Edit columns A (label) and B (TSB, dollars). Three derived columns are read-only:

- **Split %** — TSB ÷ total fund TSB.
- **Band 1 (3m–10m)** — MAX(0, MIN(TSB, $10m) − $3m) ÷ TSB. Taxed at 15%.
- **Band 2 (> 10m)** — MAX(0, TSB − $10m) ÷ TSB. Taxed at 25%.

Traffic-light banner above the table reads green (no Div 296), amber ($3m–$10m), or deep amber (above $10m).

Section 2 — Asset register (rows 15–65, 50 rows)

Col	Header	Notes
A	Asset code	Short identifier. Free text.
B	Asset name	Plain description.
C	Original cost base	Pre-reset basis — used for ordinary CGT regardless of reset.
D	Current market value	Context only; not used in tax calcs.
E	Market value at 30 Jun 2026	Load-bearing. Div 296 cost base under the reset scenario.
F	Valuation source / date	Free text; mirrored to Notes valuation log.
G	Projected sale proceeds	Blank = row excluded from totals (amber tripwire fires).
H	Projected gain/loss	Locked formula. Do not edit.
I	Held > 12 months?	Yes/No dropdown. Drives 1/3 CGT discount (s115-100).

Section 3 — Advanced assumptions (rows 67–75)

Eight named-range cells. Touch only if the ATO publishes a change. Defaults match the enacted law:

- rate_tier1 = 15% (slice $3m–$10m). rate_tier2 = 25% (slice above $10m).
- threshold_1 = $3,000,000 · threshold_2 = $10,000,000.
- discount_rate = 1/3 (s115-100 ITAA 1997). fund_cgt_rate = 15% (accumulation).
- indexation_increment_1 / _2 — forward-modelling only, not applied to Year 1.

Reading the Analyser

Fund summary (rows 6–13)

Side by side: If no reset · If elected · Difference. Bottom row ('Total Div 296 tax') is the headline. Signed Difference: negative (green) = reset saves tax; positive (red) = reset costs more tax.

Per-asset analysis (rows 15–67)

Always reflects the elected-reset scenario. Most-read columns:

- **K — Div 296 tax** — Authoritative per-asset Div 296 tax (pro-rata of the elected-reset headline).
- **L — Reset impact** — Signed delta. Negative = reset reduces this asset's burden. Positive = reset-trap candidate.
- **E, G — Ord gross gain / Ord CGT (info only)** — Greyed. Do NOT sum to fund Ord CGT — s102-5 capital-loss netting happens at fund level. Read the Reconciliation panel for the authoritative figure.

Reconciliation (rows 70–74)

Authoritative fund-level totals: ordinary CGT after intra-year capital-loss netting (s102-5 method, then s115-100 1/3 discount on the discountable residue), Division 296 tax payable, and any current-year net unused capital loss carried forward.

Comparison tearsheet

Print-ready landscape A4. Use as a client meeting handout or file note without editing. Order top to bottom:

- Header strip — fund, prepared by, date, version.
- Members & TSB strip.
- Headline cards — Div 296 tax under each scenario plus signed net effect.
- Per-scenario subtotals — Earnings, Ord CGT (unchanged), Div 296 tax, Total burden.
- Per-member breakdown — TSB and Div 296 tax for both scenarios.
- Per-asset detail — top 10 by |Δ Div 296 tax|.

Caveats

Hold these in mind. Material; several work in opposing directions.

- **Prior-year carry-forward capital losses NOT modelled.** — Apply prior-year carry-forward outside the model.
- **Pension phase NOT modelled.** — Assumes 100% accumulation. Overstates Ord CGT for pension members.
- **Reset-OFF scenario is realised-only.** — Under enacted Div 296, no-reset earnings are assessed on year-on-year TSB movement (realised + unrealised). Comparison understates the no-reset burden.
- **Multi-member splits are TSB-proportional.** — Real funds use an actuarial certificate on time-weighted balances.
- **Wash sale / Part IVA risk.** — Pre-30 June 2026 disposals purely for tax sit in anti-avoidance territory (TR 2008/1, Part IVA).
- **Transaction costs not modelled.** — Brokerage, stamp duty, liquidity drag, market-timing excluded.
- **Sheet protection is tamper-evident, not tamper-proof.** — Passwordless. Prevents accidental overwrites only.

Troubleshooting

You see	What it means	Do this
Yellow ‘Sample data preloaded’ badge persists.	Sample input (P1/S1/L1 or seeded TSBs) still present.	Overwrite every sample cell on Inputs.
Red banner: proceeds without 30 Jun 2026 value.	Those rows excluded from every figure.	Fill column E, or clear column G.
Red banner: formulas in the register.	Non-values paste left live formulas in register cells.	Ctrl+Z to undo, then Paste-Special > Values.
TSB diagnostic banner is deep amber.	At least one member's TSB exceeds $10m — 25% above-$10m tier applies.	Read Comparison for impact. No input change.
Per-asset Ord CGT (col G) doesn't sum to Reconciliation Ord CGT.	Correct — loss netting at fund level (s102-5), not per asset.	Rely on Reconciliation.

Cheat sheet

Tear-off reference. Keep next to the workbook.

Inputs columns at a glance

- A · Asset code (free text)
- B · Asset name (free text)
- C · Original cost base (ordinary CGT basis — unchanged by reset)
- D · Current market value (context only)
- E · MV @ 30 Jun 2026 (load-bearing — Div 296 basis under reset)
- F · Valuation source / date
- G · Projected sale proceeds (blank → row excluded)
- H · Projected gain/loss (locked formula — do not edit)
- I · Held > 12 months? (drives 1/3 CGT discount)

Banners — colour, meaning, action

Colour	Means	Do this
Yellow	Sample data still loaded.	Overwrite every sample cell.
Red	Formulas in register (Ctrl+V used).	Ctrl+Z, Paste-Special > Values.
Red	Proceeds without 30 Jun 2026 value.	Fill col E or clear col G.
Amber	TSB > $10m — 25% tier applies.	No action; read Comparison.

Keyboard tricks

- **Paste-Special > Values** — Ctrl+Alt+V then V — only safe paste into register.
- **Undo** — Ctrl+Z — recovers from a bad paste.
- **Word Navigation Pane (this guide)** — View → Navigation Pane.

Five caveats that change numbers materially

- Prior-year carry-forward losses — apply outside the model.
- Pension phase — not modelled (overstates Ord CGT for pension members).
- No-reset is realised-only — understates no-reset Div 296 burden.
- Multi-member split is TSB-proportional, not actuarial.
- Transaction costs (brokerage, stamp duty, liquidity) excluded.

Verifying the version

Notes tab → unhide rows immediately below the valuation log to see build_version, build_date, git_short_sha.